

Has the Fair and Equitable Treatment Standard Become a Rule of Customary International Law?

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ABSTRACT

This article examines whether or not the FET standard has become a rule of customary international law. The article contains the first empirical analysis of this question based on the two conditions under which a treaty-based norm can transform into a customary rule. The article will argue that the standard has not become a rule of custom. While the practice of States to include FET clauses in their BITs can be considered as general, widespread and representative, it is not uniform and consistent. There are in fact many different types of FET clauses and these variations matter a great deal. Also, the practice of States outside treaties shows that they rarely offer FET protection to foreign investors under their foreign investment laws. There is no indication that States parties to BITs believe that they have an obligation (*opinio juris*) under international law to provide FET protection to each other's investors.

1. INTRODUCTION

A number of books,¹ including one by the present author,² and numerous articles were published recently on the fair and equitable treatment (FET) standard. One of the most controversial questions debated by scholars (and tribunals) is related to the interaction between the 'minimum standard of treatment' (MST) and the FET standard. The question is whether the FET is an autonomous standard of protection

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- 1 Ioana Tudor, *The Fair and Equitable Treatment Standard in International Foreign Investment Law* (OUP 2008); Gabriel Cavazos Villanueva, *The Fair and Equitable Treatment Standard: The Mexican Experience* (VDM Verlag 2008); Roland Kläger, *Fair and Equitable Treatment in International Investment Law* (CUP 2011); Alexandra Diehl, *The Core Standard of International Investment Protection: Fair and Equitable Treatment* (Wolters Kluwer 2012); Martins Paparinskis, *The International Minimum Standard and Fair and Equitable Treatment* (OUP 2013); T Weiler, *The Interpretation of International Investment Law: Equality, Discrimination and Minimum Standards of Treatment in Historical Context* (Martinus Nijhoff 2013); Andrea Schernbeck, *Der Fair and Equitable Treatment Standard in internationalen Investitionsschutzabkommen* (Nomos 2013).
- 2 Patrick Dumberry, *The Fair and Equitable Treatment Standard: A Guide to NAFTA Case Law on Article 1105* (Wolters Kluwer 2013).

to be accorded to foreign investors, or is a mere reference to the MST under customary international law. The question is beyond the scope of this article.³ Suffice it to say, for the purposes of this article, that, in my view the FET standard should *generally* be considered as a stand-alone *independent* treaty standard with an autonomous meaning from the MST. This is based on the history of the emergence of the FET standard in bilateral treaties for the promotion and protection of investments (BITs). Thus, States began to include such clauses in the 1960s and 1970s when the very existence of the MST was a highly contentious issue, which was contested by developing States.⁴ In my view, western States started to make references to the FET standard in their BITs precisely because of the ambiguities surrounding the concept of the MST.⁵ In other words, the FET meant something else than the MST.⁶ This is in fact the position adopted by the majority of writers.⁷ Yet, as logical and sound as it may be, this interpretation is *not* convincing in *certain particular cases* where a treaty *explicitly* links the FET to the standard existing under 'international law'. The same is true whenever the FET clause is entitled 'MST' (such as NAFTA Article 1105) or when parties to a treaty have expressly stated that their intention was in fact for the FET standard to be considered as a reference to the MST under custom.⁸

This article addresses another related issue: whether or not the FET standard should now be considered *in and of itself* as a rule of customary international law. The basic argument advanced by the supporters of this proposition is the fact that the standard is found in the overwhelming majority of BITs.⁹ For Tudor, 'the FET standard became a customary norm of its time: quick in its formation and based essentially on a State practice derived from the treaties signed by an overwhelming number of States, which in the majority contain a FET clause'.¹⁰ I have conducted my own research and examined all 1,964 BITs which were available on the treaty database of the UNCTAD website at the time (February 2014).¹¹ I found that only

3 The question is examined in: Dumberry (n 2).

4 *ibid.*

5 See also: Weiler (n 1) 199, 211–212, 216, 227, 239–240; Stephen Vasciannie, 'The Fair and Equitable Treatment Standard in International Investment Law and Practice' (1999) 70 *British YIL* 157–158.

6 C Schreuer and R Dolzer, *Principles of International Investment Law* (OUP 2008) 124: 'if the parties to a treaty want to refer to customary international law, one would assume that they will refer to it as such rather than using a different expression'.

7 See, the analysis, in: Dumberry (n 2) 37ff.

8 The most well-known example is the 2001 Notes of Interpretation of art 1105 issued by the NAFTA FTC.

9 Tudor (n 1) 65–68, Diehl (n 1) 10–11, 125–153, 175–179; Alfred Siwy, 'Investment Arbitration - Indirect Expropriation and the Legitimate Expectations of the Investor' in Christian Klausegger and others (eds), *Austrian Arbitration Yearbook 2007* (CH Beck, Stämpfli and Manz 2007); Courtney C Kirkman, 'Fair and Equitable Treatment: Methanex v. United States and the Narrowing Scope of NAFTA Article 1105' (2002–2003) 34 *L Poly Intl Bus* 392; Todd Weiler, 'NAFTA Investment Arbitration and the Growth of International Economic Law' (2002) 2 *Bus L Intl* 188; I Laird, 'Betrayal, Shock and Outrage - Recent Developments in NAFTA Article 1105' in T Weiler (ed), *NAFTA Investment Law and Arbitration: Past Issues, Current Practice, Future Prospects* (Transnational Publishers 2004) 70–74; Jan Schokkaert and Yvon Heckscher, *International Investments Protection: Comparative Law Analysis of Bilateral and Multilateral Interstate Conventions, Doctrinal Texts and Arbitral Jurisprudence Concerning Foreign Investments* (Bruylant 2009) 331.

10 Tudor (n 1) 85.

11 See Investment Policy Hub, *International Investment Agreements Navigator*, <<http://investmentpolicyhub.unctad.org/IIA>> accessed 15 February 2016.

50 BITs did not include an FET clause while 25 others referred to the FET standard only in their preambles. Thus, less than 5% of BITs do not include any formal and binding FET obligation for host States of investments.¹²

Yet, it is not at all self-evident from the fact that the FET is found in the overwhelming majority of BITs that it *necessarily* follows that the standard should be considered as a customary rule. In fact, the opposite conclusion can be drawn. The very fact that States are still consistently signing BITs today containing FET clauses can equally be interpreted as evidence that no such standard of protection exist under custom.¹³ Thus, if the FET standard truly existed under custom, it may be argued that States would not need to include such protection in their BITs. In fact, the mere quantitative number of FET clauses (however impressive it might be) does not offer much clue as to its customary character. As noted by the International Court of Justice (ICJ), ‘the frequency or even habitual character of the acts is not in itself enough,’ States must ‘feel that they are conforming to what amounts to a legal obligation.’¹⁴ Thus, rules of customary international law develop over time based on the uniform and consistent practice of a large number of representative States, which have the conviction (or the belief) that such practice is required by law (*opinio juris*).

The present author recently published a book on how rules of customary international law are created and how they can be identified in the field of international investment law.¹⁵ Some of my findings will be discussed below. The aim of the present article is to apply these findings and concretely ‘test’ the controversial proposition of the customary status of the FET standard.¹⁶ The present article will argue that the FET standard has *not* become a customary rule. While the transformation of the content of provisions contained in treaties into a customary rule has long been recognized under international law, it remains that this phenomenon is rare in practice given the strict conditions under which such a transformation can occur. This article is the first empirical analysis of the customary status of the FET standard based on the two conditions under which a treaty-based norm can transform into a customary rule.

First, it needs to be shown that a significantly large number of States have entered into numerous BITs that contain the same provision (or very similarly drafted clauses). In other words, the practice of States who are *parties* to BITs must be uniform, consistent and representative. This article will show that while the practice of States to include FET clauses in their BITs can be considered as general, widespread and representative, it remains that it is *not* uniform and consistent enough for the standard to have crystallized into a customary rule. There are in fact many different types of FET clauses and these variations matter a great deal. Indeed, tribunals have generally concluded that differently worded FET clauses impose different levels of

12 It should be added that the present author has limited his analysis to BITs and has not examined whether or not multilateral investment treaties and free trade agreements contain FET clauses. One study of these treaties (Tudor (n 1) 36–51) shows that the vast majority of them include FET clauses.

13 Weiler (n 1) 236.

14 *North Sea Continental Shelf Cases (Federal Republic of Germany v Denmark/Federal Republic of Germany v Netherlands)* [1969] ICJ Rep 44, para 77.

15 Patrick Dumberry, *The Formation and Identification of Rules of Customary International Law in International Investment Law* (CUP 2016).

16 Most of the findings contained in this article are extracts from different chapters of my book, *ibid*.

investment protection on host States. Second, it needs to be shown that States have also adopted in their own practice *outside* treaties the type of conduct prescribed for in these instruments. The evidence suggests that this second condition is not fulfilled. My investigation of 165 foreign investment laws shows that States very rarely offer FET protection to foreign investors.¹⁷ Finally, this article will show that States also lack the necessary *opinio juris* for any rule of customary law to be said to have emerged. There is indeed no indication that States parties to BITs believe that they have an *obligation* under international law to provide FET protection to each other's investors *notwithstanding* the fact that such protection is often contained in BITs.

2. SITUATIONS WHERE THE QUESTION OF THE CUSTOMARY STATUS OF THE FET STANDARD IS RELEVANT

One basic point should be addressed before examining in detail the conditions under which a treaty-based norm can transform into a customary rule. The question of whether or not the FET standard can be considered as a rule of custom is *not* relevant in a number of specific situations. For instance, the question is of no practical importance in the situation where a BIT exists and regulates the relationship between a foreign investor and the host State and when that treaty contains an FET clause. In such a case, the host State must provide such standard of protection to the investor. Also, a tribunal will have to apply that clause to an eventual dispute between the parties. In other words, for the actors involved (the investor, the State and the arbitrators) what matters is the existence of the FET clause in the treaty, and not whether the standard can also (in addition) be considered as representing a customary norm outside the BIT framework.¹⁸

In fact, the question of the customary status of the FET standard is relevant in two situations.

First, the question is of great importance whenever there is no BIT that governs the relationship between a foreign investor and the host country of the investment. It is now estimated that over 2,923 BITs have been concluded worldwide.¹⁹ In addition, 345 international agreements (such as free trade and multilateral agreements) also include provisions on investment protection.²⁰ However numerous BITs may be, it remains that they only cover some 13% of the total bilateral relationship between States worldwide.²¹ The majority of foreign investors doing business abroad are therefore not covered by these treaties. These (unfortunate) investors will nevertheless receive some legal protection under a contract or under the domestic legislation of the country where they invest. They will also benefit from existing customary rules in the field of international investment law.²² Custom applies to all States, including those which have not entered into any BIT. These rules may be invoked by *any foreign investor*

17 Patrick Dumberry, 'The Practice of States as Evidence of Custom: An Analysis of Fair and Equitable Treatment Standard Clauses in States' Foreign Investment Laws' (forthcoming 2016) McGill JDR.

18 Kläger (n 1) 260–270.

19 UNCTAD, 'Recent Trends, in IIAs and ISDS, IIA' Issues Note, No 1, February 2015, 2.

20 *ibid.* See also: World Bank, *World Investment Report* (2014) xxiii.

21 Tarcisio Gazzini, 'The Role of Customary International Law in the Field of Foreign Investment' (2007) 8 J World Invest Trade 691.

22 More generally on the question of customary norms under international investment arbitration, see Dumberry (n 15).

before an arbitral tribunal (which has jurisdiction over a given dispute) irrespective of whether or not its State of origin has entered into a BIT with the country where it makes its investment. In other words, custom is the applicable legal regime in the absence of any BIT. In this context, it matters a great deal to determine whether or not States are bound to provide an FET protection under custom.

Second, the question of the customary nature of the FET standard is also (to some extent) relevant in cases where a BIT *does* govern the relationship between a foreign investor and the host country, but where that treaty does *not* contain any FET clause. Yet, it should be added that in practice the question of the customary status of the FET standard under this scenario rarely matters for two reasons. The first reason is that only a small minority (about 5%) of BITs do not contain an FET clause. Second, even when a BIT does not contain an FET clause, it may be that an investor will be able to invoke the Most favored nation (MFN) clause contained in that treaty to rely on provisions found in *another* treaty entered into by the host State that provide for a 'better' treatment. This is because a BIT containing an FET clause arguably provides (at least in theory) foreign investors with a 'better' treatment than a treaty without such a provision. In other words, in this scenario, it is likely that an investor will be able to benefit from an FET protection contained in another treaty via the use of the MFN clause.²³ This is indeed the conclusion reached so far by investment tribunals which have all accepted the importation of FET protection through broad MFN clauses.²⁴ The present author has examined elsewhere all publically available BITs that do not contain FET clauses to concretely determine whether or not they include an MFN clause which would allow for such importation.²⁵ My findings show that all BITs (except for two) contain MFN clauses that are broad enough and under which the importation of FET clauses from other treaties should be allowed. In any event, the parties to BITs are free to limit the scope of application of an MFN clause in order to precisely prevent such importation.²⁶ A number of States have begun doing this in recent years.²⁷

3. THE POSITION ADOPTED BY TRIBUNALS

Only a few tribunals have taken the position that the FET standard has become a rule of customary international law in and of itself. To the best of the present author's knowledge, only NAFTA tribunals have so far discussed the issue in their awards.²⁸ The first tribunal that openly adopted this view was the NAFTA *Pope and*

23 Tudor (n 1) 24; Kläger (n 1) 269.

24 The question is examined in detail in Patrick Dumberry, 'The Importation of the Fair and Equitable Treatment Standard Through MFN Clauses: An Empirical Study of BITs' (2016) 17 ICSID Rev 229–259.

25 *ibid.*

26 See, the different drafting options proposed in: UNCTAD, 'Most-Favoured-nation Treatment: A Sequel' (2010) UNCTAD Series on Issues in International Investment Agreements II, 12.

27 Thus, Canada's Model BIT (2004) explicitly prevents investors from invoking the MFN clause to get any better treatment under other already existing BITs entered into (or signed) by Canada. Also, under Article X.7 of the EU–Canada *Comprehensive Economic and Trade Agreement* (CETA), signed in 2014 (not in force yet) an investor cannot use the MFN clause contained in the agreement to claim the benefit of a better FET clause found in both past and future treaties. It is also noteworthy that India's Draft Model BIT (2015) does not contain a MFN clause.

28 This section is a revised and updated version of a section of my book Dumberry, (n 2) 119–122.

Talbot Tribunal in its second award of 2002. For the Tribunal, the fact that the FET standard was found in so many BITs basically established the element of State practice necessary to prove the existence of a rule of customary international law:

Canada's views on the appropriate standard of customary international law for today were perhaps shaped by its erroneous belief that only some 70 bilateral investment treaties have been negotiated, however, the true number, now acknowledged by Canada, is in excess of 1800. Therefore, applying the ordinary rules for determining the content of custom in international law, one must conclude that the practice of states is now represented by those treaties.²⁹

The Tribunal's reasoning is controversial and questionable on many grounds. First, the Tribunal completely disregarded the requirement to show States' *opinio juris* to establish the existence of a customary rule. Second, the Tribunal did not discuss at all the actual content of these BITs. These grounds of criticism were echoed in the subsequent NAFTA *ADF* case where the Tribunal made reference to the strong position adopted by the United States³⁰ and Mexico.³¹ In the *Mondev* ruling, the Tribunal also referred to the NAFTA Parties' strong disapproval of the reasoning of the *Pope and Talbot* award on this issue.³²

The *Mondev* Tribunal mentioned that '[i]t is often difficult in international practice to establish at what point obligations accepted in treaties, multilateral or bilateral, come to condition the content of a rule of customary international law binding on States not party to those treaties'.³³ For the Tribunal, the answer was quite simple: the respondent (United States) had apparently contended that 'when adopting provisions for fair and equitable treatment and full protection and security in NAFTA (as well as in other BITs), the intention was to incorporate principles of customary international law'.³⁴ The Tribunal concluded, in the NAFTA context, as follows:

Thus the question is not that of a failure to show *opinio juris* or to amass sufficient evidence demonstrating it. The question rather is: what is the content of

29 *Pope & Talbot Inc v Canada* (Award in Respect of Damages, 31 May 2002) UNCITRAL, [62].

30 *ADF Group Inc v United States* (Award, 9 January 2003) ICSID Case No ARB(AF)/00/1 [112]: '[t]he *Pope and Talbot* Tribunal did not examine the mass of existing BITs to determine whether those treaties represent concordant state practice and whether they constitute evidence of the *opinio juris* constituent of customary international law.' For the United States, the *Pope* Tribunal was therefore 'not in a position to state whether any particular BIT obligation has crystallized into a rule of customary international law'.

31 *ibid* 125.

32 *Mondev International Ltd v United States* (Award, 2 October 2002) ICSID Case No ARB(AF)/99/2 [110] (hereinafter referred to as *Mondev v United States*): 'In their post-hearing submissions, all three NAFTA Parties challenged holdings of the Tribunal in *Pope & Talbot* which find that the content of contemporary international law reflects the concordant provisions of many hundreds of bilateral investment treaties. In particular, attention was drawn to what those three States saw as a failure of the *Pope & Talbot* Tribunal to consider a necessary element of the establishment of a rule of customary international law, namely *opinio juris*. These States appear to question whether the parties to the very large numbers of bilateral investment treaties have acted out of a sense of legal obligation when they include provisions in those treaties such as that for 'fair and equitable' treatment of foreign investment.'

33 *ibid*.

34 *ibid*.

customary international law providing for fair and equitable treatment and full protection and security in investment treaties?³⁵

This passage is ambiguous. It is not entirely clear whether the Tribunal simply endorsed the position advanced by the United States that the FET standard is a reference to the MST existing under custom or, instead, whether the Tribunal believed that the FET standard had *itself* become a rule of customary international law. There are indeed a few passages in the award that seem to suggest that the Tribunal in fact supported the later position. Thus, the Tribunal mentions that the 2,000 existing BITs ‘almost uniformly’ contain an FET clause adding that ‘such a body of concordant practice will necessarily have influenced the content of rules governing the treatment of foreign investment in current international law’.³⁶ It also added that the content of ‘current international law’ was ‘shaped by the conclusion of more than two thousand bilateral investment treaties and many treaties of friendship and commerce’, and that ‘those treaties largely and concordantly’ include an FET clause.³⁷ This position was later endorsed by the *Chemtura* Tribunal, which stated that the determination of NAFTA Article 1105 ‘cannot overlook the evolution of customary international law, nor the impact of BITs on this evolution’.³⁸ In sum, the different statements made by the *Mondev* Tribunal suggest that it endorsed the proposition that this ‘uniform’ practice of States incorporating FET clauses in their BITs had led to the formation of a rule of custom.³⁹

A few months later in 2003, the *ADF* Tribunal stated that while the *Mondev* Tribunal was ‘implying that the process was in motion’, it had in fact *not* endorsed the position that the FET obligation was a customary rule.⁴⁰ In any event, the *ADF* Tribunal expressly rejected the contention (made by the investor in the proceedings) that the FET standard had become part of custom:

We are not convinced that the Investor has shown the existence, in current customary international law, of a general and autonomous requirement (autonomous, that is, from specific rules addressing particular, limited, contexts) to accord fair and equitable treatment and full protection and security to foreign investments. The Investor, for instance, has not shown that such a requirement has been brought into the corpus of present day customary international law by the many hundreds of bilateral investment treaties now extant. It may be that, in their current state, neither concordant state practice nor judicial or arbitral caselaw provides convincing substantiation (or, for that matter, refutation) of the Investor’s position.⁴¹

35 *ibid* [113]. See also [122].

36 *ibid* [117].

37 *ibid* [125].

38 *Chemtura Corporation v Canada* (Award, 2 August 2010) UNCITRAL [121].

39 Alexander Orakhelashvili, ‘The Normative Basis of “Fair and Equitable Treatment”: General International Law on Foreign Investment?’ (2008) 1 *Archive des Völkerrechts* 78; Laird (n 9) 67, 69, 70. See also Stephan W Schill, ‘Fair and Equitable Treatment, the Rule of Law, and Comparative Public Law’ in Stephan W Schill (ed), *International Investment Law and Comparative Public Law* (OUP 2010) 153.

40 *ADF* (n 30) [183].

41 *ibid* [183], [185].

The *Merrill and Ring* Tribunal took a different view. It held that ‘against the backdrop of the evolution of the minimum standard of treatment’ it was ‘satisfied that fair and equitable treatment has become a part of customary law’.⁴² The Tribunal gave the following explanation (without, however, embarking on a concrete analysis of State practice and *opinio juris*⁴³):

A requirement that aliens be treated fairly and equitably in relation to business, trade and investment is the outcome of this changing reality and as such it has become sufficiently part of widespread and consistent practice so as to demonstrate that it is reflected today in customary international law as *opinio juris*. In the end, the name assigned to the standard does not really matter. What matters is that the standard protects against all such acts or behavior that might infringe a sense of fairness, equity and reasonableness. Of course, the concepts of fairness, equitableness and reasonableness cannot be defined precisely: they require to be applied to the facts of each case. In fact, the concept of fair and equitable treatment has emerged to make possible the consideration of inappropriate behavior of a sort, which while difficult to define, may still be regarded as unfair, inequitable or unreasonable.⁴⁴

The *Cargill* Tribunal adopted a much more cautious approach. First, it stated that it is ‘widely accepted that extensive adoption of identical treaty language by many States may in and of itself serve – again with care – as evidence of customary international law’.⁴⁵ The Tribunal mentioned the fact that FET clauses were widespread in BITs, but also noted that their actual language varies. For this reason, it held that ‘significant evidentiary weight should not be afforded to autonomous clauses inasmuch as it could be assumed that such clauses were adopted precisely because they set a standard other than that required by custom’.⁴⁶ The Tribunal concluded that it did not ‘believe it prudent to accord significant weight to even widespread adoption of such [FET] clauses’.⁴⁷ It also added that: ‘It may be that widespread adoption of a strict autonomous meaning to “fair and equitable treatment” may in time raise international expectations as to what constitutes good governance, but such a consequence is different than such clauses evidencing directly an evolution of custom.’⁴⁸

In sum, only two awards (*Pope and Talbot* and *Merrill and Ring*) have clearly adopted the position that the FET standard has become a rule of custom, while the reasoning of another (*Mondev*) may also be interpreted as such an endorsement. The next section examines concretely how a treaty-based norm can transform into a customary rule.

42 *Merrill & Ring Forestry LP v Canada* (Award, 31 March 2010) UNCITRAL [211] (emphasis added).

43 For a critical analysis of the award, see Dumberry (n 2) 115–117.

44 *ibid* [210].

45 *Cargill, Inc v Mexico* (Award, 18 September 2009) ICSID Case No ARB(AF)/05/02 [276].

46 *ibid*.

47 *ibid*.

48 *ibid*.

4. ASSESSING THE CUSTOMARY STATUS OF THE FET STANDARD

This chapter will concretely assess the controversial proposition recognizing the customary status of the FET standard.⁴⁹ I will first briefly explain the phenomenon of custom in the specific context of investment arbitration (Section 4.A). I will also examine the question of how (and under which conditions) provisions contained in BITs can transform into customary rules (Section 4.B). I will then examine the practice of States to include FET clauses in their BITs and determine whether it is general and widespread, representative and uniform and consistent (Section 4.C). Finally, it will address the question of whether or not these States have any *opinio juris* with respect to the FET standard (Section 4.D).

A. Introductory Remarks on the Phenomenon of Custom

Although it has been criticized for being unsatisfactory, the starting point of any analysis on custom is Article 38(1) of the Statute of the ICJ.⁵⁰ The provision enumerates a (non-exhaustive⁵¹) list of the formal ‘sources of international law’, one of which is ‘international custom’. Article 38 uses the following (rather awkward) wording: ‘international custom, as evidence of a general practice accepted as law’.⁵² Investor–State arbitration tribunals frequently refer to Article 38 as an authoritative statement of the sources of international law.⁵³ In the present author’s view, any enquiry into the sources of international *investment* law must be based on the recognized sources of *general* international law listed under this provision. This is because investment arbitration is part of public international law.⁵⁴ It is not a self-contained regime.⁵⁵ However, as mentioned by Tams, reference to Article 38 can only be the *starting*

49 This section is a summarized version of one chapter from my book: Dumberry (n 15).

50 *Statute of the ICJ*, reprinted in International Court of Justice, Charter of the United Nations, Statute and Rules of Court and other Documents 61 (No 4 1978).

51 J d’Aspremont, *Formalism and the Sources of International Law* (OUP 2011) 149.

52 As rightly noted by Mark E Villiger, *Customary International Law and Treaties: A Manual on the Theory and Practice of the Interrelation of Sources* (2nd edn, Kluwer 1997) 15, ‘the Court cannot apply a custom, [but] only customary law’, and it is in fact the ‘general practice accepted as law which constitutes evidence of a customary rule’ not the other way around. A better definition of custom is the one adopted by ILC Special Rapporteur Wood in his Second Report (International Law Commission, ‘Second Report on Identification of Customary International Law’, by Michael Wood, Special Rapporteur, Sixty-sixth Session, Geneva, 5 May–6 June and 7 July–8 August 2014, UN Doc A/CN.4/672 [hereinafter referred to as ILC, Second Report, 2014], Draft Conclusion 2 of the ILC ‘Proposed draft conclusions on the identification of customary international law’): customary international law ‘means those rules of international law that derive from and reflect a general practice accepted as law’.

53 See, the analysis in: Dumberry (n 15) 20–22, 35ff. I have found no award rejecting the relevance of art 38.

54 C Tams, ‘The Sources of International Investment Law’ in T Gazzini and E de Brabandere (eds), *International Investment Law: The Sources of Rights and Obligations* (Martinus Nijhoff 2012) 320; M Forteau, ‘La contribution au développement du droit international général de la jurisprudence arbitrale relative aux investissements étrangers’ (2009) 4(1) Anuário Brasileiro de Direito Internacional 14; Jose E Alvarez, ‘A Bit on Custom’ (2009–2010) 42 NYU J Intl L Pol 76; C McLachlan, L Shore and M Weiniger, *International Investment Arbitration: Substantive Principles* (OUP 2007) 15; Claire Crepet Daigremont, ‘Les sources du droit international des investissements’ in C Leben (ed), *Droit international des investissements et l’arbitrage transnational* (Pedone 2015) 84.

55 *Archer Daniels Midland Company and Tate and Lyle Ingredients Americas, Inc, v Mexico* (Award, 21 November 2007) ICSID Case No ARB(AF)/04/05 [195].

point of any enquiry about the sources of international investment law.⁵⁶ A recent book on the sources of rights and obligations in international investment law includes chapters on *other* sources, including State contracts and national laws.⁵⁷

As explained by ILC Special Rapporteur Wood, the so-called ‘double requirement’ under Article 38 (State practice and *opinio juris*) is ‘generally adopted in the practice of States and the decisions of international courts and tribunals, including the [ICJ]’ and it is ‘widely endorsed in the literature’.⁵⁸ The double requirement is often referred to as the ‘traditional’ approach.⁵⁹ A number of scholars have rejected this approach and instead developed alternative theories generally focusing on the prevalence of *opinio juris* rather than actual State practice.⁶⁰

The present author has adopted the ‘traditional’ approach whereby *both* State practice and *opinio juris* must be demonstrated.⁶¹ As summarized by one writer, ‘the reason why both elements can be seen to be necessary is that without *usus* it would not be customary and without *opinio* it would not be law’.⁶² On the one hand, custom simply cannot be created by mere *opinio juris*, without any State practice backing such a belief.⁶³ Thus, deducing custom ‘purely from *opinio juris* can create utopian laws that cannot regulate reality’.⁶⁴ Put differently, *opinio juris* without State practice is ‘nothing more than rhetoric’.⁶⁵ On the other hand, it is necessary to demonstrate *opinio juris* for two reasons. First, it is essential in distinguishing between real international law obligations and conduct that is merely based on other *non-legal* motivations,⁶⁶ such as ‘courtesy, political expediency, will or compromise, precautionary measures, expressions of intent and aspirations or preferences’.⁶⁷ This essential distinction has been recognized

56 Tams (n 54) 319.

57 Gazzini and De Brabandere (n 54).

58 ILC, Second Report, 2014 (n 52) 8.

59 In a recent article, AE Roberts, ‘Traditional and Modern Approaches to Customary International Law: A Reconciliation’ (2001) 95 AJIL 758, notably described this approach as one ‘focus[ing] primarily on state practice in the form of interstate interaction and acquiescence’, with *opinio juris* being ‘a secondary consideration invoked to distinguish between legal and nonlegal obligations’.

60 These theories are examined in detail in: Dumberry (n 15) 30ff. See also, the analysis in: International Law Commission, ‘First Report on Formation and Evidence of Customary International Law’, by Michael Wood, Special Rapporteur, Sixty-fifth Session, Geneva, from 6 May–7 June and 8 July–9 August 2013 UN Doc A/CN.4/663, 17 May 2013, 20 [ILC, First Report, 2013] 47ff.

61 Dumberry (n 15) 30ff. As noted by one writer (Maurice H Mendelson, ‘The Formation of Customary International Law’ (1985) 192 Rec des cours 372), these alternative theories have ‘received virtually no support in the practice of States or in the case-law’ (with the exception of a few decisions of the International Tribunal for the Former Yugoslavia (ICTY), including *Prosecutor v Kupreškić*, ICTY Case No IT-95-16-T (ICTY Trial Chamber), 14 January 2000, para 527).

62 Jörg Kammerhofer, ‘Customary International Law Needs both *Opinio* and *Usus*’ (2013) paper presented at the conference ‘The Role of *Opinio Juris* in Customary International Law’, Duke-Geneva Institute in Transnational Law, Geneva, 2.

63 Villiger (n 52), 288; HWA Thirlway, *International Customary Law and Codification* (Sijthoff 1972) 56.

64 Roberts (n 59) 757.

65 Y Dinstein, ‘The Interaction between Customary International Law and Treaties’ (2006) 322 Rec des cours 294.

66 Villiger (n 52) 48.

67 International Law Commission, ‘Formation and Evidence of Customary International Law, Elements in the Previous Work of the ILC that Could be Particularly Relevant to the Topic’, Memorandum by the Secretariat, Sixty-fifth session Geneva, 5 May–7 June and 8 July–9 August 2013, UN Doc A/CN.4/659 [hereinafter referred to as ILC, Memorandum, 2013] 19.

by the ICJ.⁶⁸ Second, demonstrating *opinio juris* is necessary to explain how the accumulation of uniform and consistent State practice can ‘transform’ into a legal rule *binding* on all States.⁶⁹ As noted by the ICJ in the *North Sea Continental Shelf* cases, ‘acting, or agreeing to act in a certain way, does not itself demonstrate anything of a juridical nature’.⁷⁰ It is indeed fundamental to be able to explain how something that States *often and typically do* becomes something that they *feel they have to do* under international law.⁷¹ In the words of Dinstein, *opinio juris* ‘underpins the transition of State practice from the normal to the normative’.⁷²

In any event, this double requirement has been recognized by *all* investment tribunals which have explained the concept of custom.⁷³ Moreover, States recognize this double requirement in their pleadings in arbitration proceedings as well as in recent investment treaties.⁷⁴ In fact, I have found no example of State practice where a State has rejected the necessity to demonstrate both elements of custom.

A few words should be said about arbitral awards and the phenomenon of the creation of custom.⁷⁵ Awards are not a formal source of international law and therefore cannot be considered as evidence of State practice for the formation of customary rules. Yet, while international judges or arbitrators have no formal role in the creation of these rules, they nevertheless play an essential role in ‘revealing’ their existence as well as in their development and evolution. Thus, any decision/award containing a comprehensive and persuasive analysis (based on a detailed examination of both State practice and *opinio juris*) on whether or not a given rule should be considered as custom will greatly influence other future tribunals as well as the subsequent practice of States. Yet, in my book I observed that arbitral tribunals have so far generally failed in their task of properly revealing the existence of customary rules.⁷⁶ Thus,

68 *Colombian-Peruvian Asylum Case*, Judgment, ICJ Rep 1950, 285, 286; *North Sea Continental Shelf Cases* (n 14) 44, para 77. See also: ILC, Second Report, 2014 (n 52) 42–43, listing a number of individual opinions of ICJ judges.

69 Karol Wolfke, *Custom in Present International Law* (2nd edn, Nijhoff 1993) 44.

70 *North Sea Continental Shelf Cases* (n 14) 44, para 76.

71 International Law Commission, ‘Third Report on Identification of Customary International Law’, by Michael Wood, Special Rapporteur, Sixty-seventh session, Geneva, 4 May–5 June and 6 July–7 August 2014, A/CN.4/682 [hereinafter referred to as ILC, Third Report, 2015] 6.

72 Dinstein (n 65) 294. See also: ILC, Second Report, 2014 (n 52) 41.

73 *Cambodia Power Company v Cambodia and Electricité du Cambodge LLC* (Decision on Jurisdiction, 22 March 2011) ICSID Case No ARB/09/18 [333]; *Daimler Financial Services AG v Argentina* (Award, 22 August 2012) ICSID Case No ARB/05/1 [622, 310]; *Glamis Gold Ltd v United States* (Award, 14 May 2009) UNCITRAL [602]; *MCI Power Group LC and New Turbine Incorporated v Ecuador* (Award, 26 July 2007) ICSID Case No ARB/03/6 [369]; *Mobil Investments Canada Inc and Murphy Oil Corporation v Canada* (Decision on Liability and on Principles of Quantum, 22 May 2012), ICSID Case No ARB(AF)/07/4 [127]; *El Paso Energy International Company v Argentina* (Award, 31 October 2011) ICSID Case No ARB/03/15 [622]; *Merrill & Ring* (n 42) [193, 204, 201]; *Railroad Development Corporation (RDC) v Guatemala* (Award, 29 June 2012) ICSID Case No ARB/07/23, [216]; *Apotex Holdings Inc & Apotex Inc v United States* (Award, 25 August 2014) ICSID Case No ARB(AF)/12/1, [9.25]; *United Parcel Service of America Inc v Canada* (Award on Jurisdiction, 22 November 2002) UNCITRAL [84].

74 See, the analysis in: Dumberry (n 15) 35ff.

75 On this question, see: Dumberry (n 15) 42ff, 283–291; Patrick Dumberry, ‘The Role and Relevance of Awards in the Formation, Identification and Evolution of Customary Rules in International Investment Law’ (2016) 33(3) J intl Arb.

76 See, Dumberry (n 15) 283–291.

instead of conducting their *own* analysis of practice and *opinio juris*, they generally simply rely on the findings of other tribunals.⁷⁷

In my view,⁷⁸ customary rules of international investment law remain of fundamental importance today even in light of the present proliferation of BITs.⁷⁹ For one thing, the MST and the general prohibition against expropriation without compensation can now be considered as well-established customary rules.⁸⁰ The very existence of these rules is a testament to the continuing importance of custom. Custom is also relevant for three reasons. First, custom is the applicable legal regime of protection in the absence of any BIT. Second, custom is, of course, also important in the many instances where BITs make explicit reference to the concept. Third, custom plays a gap-filling role whenever a treaty, a contract or domestic legislation is silent on a given issue. Finally, in my view, arbitral tribunals should *always* take into account relevant rules of customary international law for the simple reason that ‘international law’ is the applicable law in the overwhelming majority of arbitration disputes.⁸¹

B. How can Provisions Contained in BITs Transform into Customary Rules?

Having briefly exposed the phenomenon on custom, this section explains how treaty-based norms can transform into customary rules. While custom and treaties are two distinct sources of international law, they remain in many ways ‘entangled’.⁸² It is generally recognized that there are three forms of interactions between custom and treaties,⁸³ including the possibility for patterns of treaties containing the same (or very similar) provision to contribute to the formation of a *new* rule of customary international law in the future. The phenomenon is widely recognized by scholars,⁸⁴ by the work of the ILC⁸⁵ and the ILA,⁸⁶ and is also reflected at Article 38 of the *Vienna Convention on the Law of Treaties*. One important point to highlight is that while a treaty (or treaties) can be ‘the historic (material) source of a customary rule’,

77 One rare exception is *UPS* (n 73) [85 ff].

78 See the analysis in Dumberry (n 15) 351–405; Patrick Dumberry, ‘A Few Observations on the Remaining Fundamental Importance of Customary Rules in the Age of Treatification of International Investment Law’ (2016) 34(1) *Bull ASA* 41–61.

79 Gazzini (n 21), 691. See also Christoph H Schreuer and others, *The ICSID Convention; A Commentary* (2nd edn, CUP 2009) 606; Alvarez (n 54) 74.

80 For a detailed analysis, see Dumberry (n 15); Patrick Dumberry, ‘The ‘Minimum Standard of Treatment’ in International Investment Law: The Fascinating Story of the Emergence, the Decline and the Recent Resurrection of a Concept’ (forthcoming 2016) *Proceedings of the Conference International Law and Time*.

81 The issue is examined in detail in Dumberry (n 15) 368ff.

82 Oscar Schachter, ‘Entangled Treaty and Custom’ in Yoram Dinstein (ed), *International Law at a Time of Perplexity: Essays in Honour of Shabtai Rosenne* (Martinus Nijhoff 1989) 717–738; Maurice Mendelson, ‘Disentangling Treaty and Customary International Law’ (1987) 81 *ASIL Proc* 157–163.

83 On this question, see Villiger (n 52) 195ff.

84 R. Baxter, ‘Treaties and Custom’ (1970) 129 *Rec des cours* 57ff; Villiger (n 52) 167ff; Dinstein (n 65) 371ff; Abdullah Al Faruque, ‘Creating Customary International Law through Bilateral Investment Treaties: a Critical Appraisal’ (2004) 44 *Indian J Intl* 298–299.

85 ILC, Memorandum, 2013 (n 67) 33. A number of contemporary examples of such a phenomenon are examined in: ILC, Third Report, 2015 (n 71) 27.

86 International Law Association, ‘Statement of Principles Applicable to the Formation of General Customary International Law’ (2000) Final Report of the Committee on the Formation of Customary Law, Conference Report London, 17 [hereinafter ILA, Final Report] 46.

it cannot be considered as the 'formal' source.⁸⁷ Thus, while treaties may be considered as the starting point of the eventual development of a new customary rule, the 'formal' source of the development of custom consists in the actual practice of States afterward.⁸⁸ Another closely related phenomenon is the so-called 'crystallisation' of custom.⁸⁹

Most scholars agree that, in theory, the content of a series of *bilateral* treaties may contribute to the development of a new customary rule.⁹⁰ A number of writers have also taken the same position specifically regarding BITs.⁹¹ In fact, a number of tribunals have also acknowledged such a possibility.⁹² Yet, there is certainly no presumption that a series of bilateral treaties will necessarily lead to said transformation.⁹³ Thus, the main reason why States ratify bilateral treaties in the first place is 'precisely because they believe that no customary rules exist, or will exist, on the matter'.⁹⁴ This is exactly what happened with BITs. States started to sign BITs *en masse* in the 1990s because there were strong disagreements among them regarding whether or not any customary rule existed at the time.⁹⁵ Thus, on the one hand developing (and socialist) States generally believed that no rule of customary international law had crystallized as a result of their opposition to such norms. On the other hand, developed States were of the opinion that while such customary rules existed, their effectiveness was limited as a result of the vehement opposition of a large number of States.

One basic question needs to be asked whenever assessing whether a treaty-based rule contained in a bilateral treaty can transform into a rule of custom.⁹⁶ In

87 *ibid* 46.

88 See Villiger (n 52) 26. The ICJ has recognized this important distinction: *Continental Shelf (Libyan Arab Jamahiriya/Malta)*, Judgment, ICJ Rep 1985, 13, 29–30. See also: *North Sea Continental Shelf Cases* (n 14) 104, Separate Opinion of Judge Ammoun.

89 Here, the treaty is *not* the starting point of the eventual formation of a rule. The treaty intervenes later in the process by *boosting* pre-existing State practice and helping the crystallization of a slowly emerging new rule of custom. See ILA, Final Report (n 86) 49; *North Sea Continental Shelf Cases* (n 14), para 63; *Fisheries Jurisdiction Case (United Kingdom v Iceland)*, ICJ Rep 1974, paras 51–52; *Continental Shelf case* (n 88) para 24.

90 See, the list of writers in Dumberry (n 15) 163ff.

91 See, the list of writers in Dumberry (n 15) 172–175.

92 *Pope & Talbot* (n 29) [59]; *Cargill* (n 45) [276]; *Camuzzi International SA v Argentina* (Decision on Jurisdiction, 11 May 2005) ICSID Case No ARB/03/2 [144]; *Sempra Energy International v Argentina* (Decision on Jurisdiction, 11 May 2005) [156]. The reasoning of a number of other tribunals also suggests (at least implicitly) that such a transformation is possible: *Glamis* (n 73) [603]; *UPS* (n 73) [86]; *Chemtura* (38) [121]; *ADF* (n 30) [183].

93 ILA, Final Report (n 86) 47–48; Vasciannie (n 5) 158, fn 323; Wolfke (n 69) 69; C McLachlan, 'Investment Treaties and General International Law' (2008) 57 ICLQ 392.

94 Villiger (n 52) 189. Yet, one cannot simply deduce from the fact that States have entered into a treaty that they *necessarily* consider that no customary rules exist *at all*. There are indeed perfectly good reasons for States to sign a treaty and *at the same time* consider some *specific* provisions contained in that treaty as codifying existing custom.

95 Hussein Haeri, 'A Tale of Two Standards: 'Fair and Equitable Treatment' and the Minimum Standard in International Law' (2011) 27 Arb Intl 43; M Sornarajah, *The International Law on Foreign Investment* (2nd edn, CUP 2004) 19–20, 213–214.

96 See Jean d'Aspremont, 'International Customary Investment Law: Story of a Paradox' in Gazzini and de Brabandere (n 54) 33–34.

the words of the ICJ, a provision must be of a 'fundamentally norm-creating character such as could be regarded as forming the basis of a general rule of law'.⁹⁷ While for some writers, the FET standard has the potential to develop as a rule of custom,⁹⁸ others have pointed out to the fact that the FET standard 'is characterized by lack of clarity concerning the principle's normative content and scope' and that it 'does not have a precise content that can easily be applied'.⁹⁹ Surprisingly, this position is in fact taken by writers who argue that the FET standard is indeed a rule of custom. For instance, Tudor believes that 'given the flexibility of the notion and the ways in which it is adapted and applied to a case, the FET has no stable or fixed content'.¹⁰⁰ But one writer asked how a norm without fixed content can become a norm of customary international law.¹⁰¹ For this reason, some writers have concluded that the FET standard simply cannot transform into a custom rule.¹⁰²

There are two strict conditions that need to be fulfilled for a treaty-based rule to transform into a new rule of custom. First, it needs to be shown that a significant number of States have entered into numerous BITs that contain the same provision (or very similarly drafted clauses). For the ICJ, what is required is that 'State practice, including that of States whose interest are specially affected, should [be] both extensive and virtually uniform in the sense of the provision invoked (. . .)'.¹⁰³ In other words, the practice of States who are *parties* to BITs must be uniform, consistent and representative. Second, it needs to be shown that States (including those *not* party to these BITs) have also adopted in their own practice (outside the treaty) the type of conduct prescribed in these instruments. Thus, what matters is the existence of a consistent practice of States *outside* the treaty framework.¹⁰⁴ The next section examines concretely whether or not these two conditions are met regarding the practice of States to include FET clauses in their BITs.

C. Examination of State Practice

This section will first examine the practice of States that are parties to BITs containing FET clauses (Section 4.C.i); this will be followed by a brief analysis of the practice of States outside the BIT framework (Section 4.C.ii).

97 *North Sea Continental Shelf Cases* (n 14) para 72. On this notion, see, Villiger (n 52) 177–178.

98 Vasciannie (n 5) 154.

99 ILA, 'General Public International Law and International Investment Law – A Research Sketch on Selected Issues' (2009) The International Law Association German Branch Sub-Committee on Investment Law, 10–11; Gazzini (n 21) 698; Faruque (n 84) 304.

100 Tudor (n 1) 133. See also Ioana Knoll-Tudor, 'The Fair and Equitable Treatment Standard and Human Rights Norms' in PM Dupuy, F Francioni and EU Petersmann (eds), *Human Rights in International Investment Law and Arbitration* (OUP 2009) 317; Diehl (n 1) 135 ('it is the very nature of standard not to be uniform and specific but to be broad and open for fact-specific analysis').

101 SW Schill, Book review of Tudor's work (2009) 20 EJIL 237.

102 Orakhelashvili (n 39) 104; d'Aspremont (n 96) 24, 33–34; Gazzini (n 21) 698. See also Paparinskis (n 1) 172.

103 *North Sea Continental Shelf Cases* (n 14) 43, para 74. See also: ILC, Third Report, 2015 (n 71) 26.

104 Dinstein (n 65) 376–377; Villiger (n 52) 183–184; R Baxter, 'Multilateral Treaties as Evidence of Customary International Law' (1965–1966) 41 British YIL 296–297.

(i) *The practice of states parties to BITs*

The first condition for a treaty-based norm, such as the FET standard, to transform into a customary rule concerns the practice of States that are *parties* to BITs containing such a clause. Their practice must be not only general and widespread (Section 4.C.i.a) among a largely representative number of States (Section 4.C.i.b), but also uniform and consistent (Section 4.C.ii.c).¹⁰⁵

(a) *State practice is general and widespread.* In order for a customary rule to emerge, State practice must be general,¹⁰⁶ or in the words of the ICJ, ‘widespread’¹⁰⁷ and ‘sufficiently extensive and convincing’.¹⁰⁸ This is, however, a relative requirement. Thus, no ‘precise number or percentage of States’ is required to demonstrate general practice.¹⁰⁹ Also, whether or not a practice is widespread and extensive enough cannot be determined in the abstract; it will always depend on the circumstances. What matters is the degree of *representativeness* of the States actively engaged in that practice (a point further discussed in the next section).¹¹⁰

The inclusion of FET clauses in modern BITs is general and widespread.¹¹¹ As noted in the introduction, I have examined close to 2,000 BITs and found that only 50 of them did not include any FET clause and that 25 others referred to the standard only in their preambles. Thus, less than 5% of all BITs examined do not include any formal and binding FET obligation for the host State of investments. Although a few BITs contain slightly different language than the expression FET *per se*,¹¹² not so much weight should be given to these variations of language.¹¹³ The following table shows which States have entered into BITs containing no FET clause¹¹⁴:

105 Gazzini (n 21) 701.

106 ILC Memorandum (n 67) 10–11 (noting the different expressions used by the ILC); ILC, Second Report, 2014 (n 52) 34; Al Faruque (n 84) 296.

107 *Maritime Delimitation and Territorial Questions between Qatar and Bahrain*, Merits, Judgment, ICJ Reports 2001, 40, 102, para 205; *Fisheries Jurisdiction Case* (n 89) 45, 52 (Joint Separate Opinion of Judges Forster, Bengzon, Jiménez de Aréchaga, Nagendra Singh and Ruda).

108 *Delimitation of the Maritime Boundary in the Gulf of Maine Area (Canada/United States)*, Judgment, ICJ Reports 1984, 299, para 111.

109 Mendelson (n 61) 219–224.

110 ILA, Final Report (n 86) 25, 26; ILC, Second Report, 2014 (n 52) 34.

111 Tudor (n 1) 23, examined 365 BITs with only 19 of them not containing a reference to FET.

112 Thus, I have found 12 BITs which only refer to ‘fair’ treatment, including 9 BITs entered into by Iran and 3 by Russia. Also, 5 BITs referred to the expression ‘just and fair’ and 13 only to ‘equitable’ treatment, including 7 entered into by China and 4 by Malaysia. Finally, 8 BITs referred to ‘just and equitable’ treatment (including 3 by Germany) and 12 others to the term ‘equitable and reasonable’ (including 3 by Italy, 6 by Norway and 3 by the Philippines).

113 See, the discussion in Dumberry (n 2) 58.

114 It should be added that a number of States have two BITs each with no FET clause: Greece, France, Philippines, Croatia, Sweden, Czech Republic and Indonesia. The following States have only one such BIT: Belgium, Cyprus, Cameroon, Georgia, Ghana, Korea, Iran, Liberia, Libya, Madagascar, Mongolia, Netherlands, Niger, Rwanda, Slovakia, Singapore, Bangladesh Togo, Tunisia, UK, Ukraine, United States, Denmark and Indonesia.

State	Number of BITs with no FET clause (out of the total number of BITs entered into by that State)	Name of the other States party to these BITs without FET clause
Romania	7 (82)	Senegal, Albania, Cameroon, Denmark, Egypt, Ghana, Pakistan
Germany	8 (134)	Iran, Liberia, Malaysia, Niger, Rwanda, Senegal, Singapore, Togo
Japan	7 (22)	Mongolia, Pakistan, Sri Lanka, Turkey, Bangladesh, China, Egypt
Egypt	5 (100)	Georgia, Japan, Romania, United States, Albania
Albania	4 (43)	Croatia, Egypt, Greece, Romania
Turkey	5 + 21 others with FET only in the preamble (89)	Bulgaria, China, Indonesia, Japan, Kazakhstan + Algeria, Albania, Bosnia, Croatia, Cuba, Egypt, India, Jordan, Kazakhstan, Kyrgyzstan, Latvia, Malta, Moldova, Pakistan, Qatar, South Africa, Sudan, Tajikistan, Turkmenistan, China, Tunisia
Senegal	4 (26)	Germany, Netherlands, Romania, Sweden
Bulgaria	4 (68)	Cyprus, Malta, Sweden, Turkey
China	3 (130)	Japan, Slovakia, Turkey
Italy	3 (92)	Malta, Albania, Algeria
Malta	3 (21)	Libya (not in force), Bulgaria, Italy
Pakistan	3 (46)	Japan, Philippines, Romania

A few observations can be made about those few BITs containing no FET obligations. First, no State has systematically excluded FET clauses from its treaties. The few States which have omitted such clauses more often than others have only done so in a minority of their BITs. Second, one-third of all Japanese and Turkish BITs do not include any binding FET clause. These Japanese BITs have all been entered into with developing States. However, Turkey has entered into those BITs (with no FET clause) with both developing and developed States (all from Eastern Europe and the former USSR, except for Japan). These features suggest that both States may have insisted during treaty negotiation for excluding the presence of any FET clause. Not surprisingly, the Japan–Turkey BIT does not include such a clause. Third, about 10% of all Romanian, Albanian, Greek and Senegalese BITs have no FET clauses. The majority of such Romanian BITs have been entered into with developing States. All Greek BITs (that do not contain an FET clause) have been signed with States from Eastern Europe and the former USSR. The same is true for most Albanian BITs. Not surprisingly, the BITs entered into between these three States (Albania–Greece BIT, Albania–Romania BIT) also do not include an FET clause. These patterns suggest

that the absence of an FET clause may have been an important aspect for these States during treaty negotiation. Overall, it seems that BITs with no FET clauses have been more popular in Eastern Europe than elsewhere. In general (with the exception of Japan), such clauses are not favoured by developing States. Only Germany has adopted such clause in 9 of its 134 BITs, all with developing States (except for the one signed with Romania).

In sum, the practice of States to include FET clauses in their BITs is general and widespread.

(b) *State practice is representative.* The representativeness of the practice of States is another key aspect when assessing the customary nature of a provision contained in treaties. Thus, for the ILA, 'it is not simply a question of how many States participate in the practice, but *which* States'.¹¹⁵ The ICJ in the *North Sea Continental Shelf* cases also speaks of 'very widespread and *representative* participation' in the development of a rule.¹¹⁶ Different (but not necessarily conflicting) interpretations as to what representativeness actually means have been put forward. For some, a representative practice means that it includes those States from 'all major political and social-economic systems'.¹¹⁷ What matters, to quote the ICJ in the *North Sea Continental Shelf* cases,¹¹⁸ is the practice of those 'specially affected' States.¹¹⁹ Which States are 'specially affected' will vary depending on the circumstances.¹²⁰

While the FET standard was first developed by western States to provide protection to their companies when investing in developing countries,¹²¹ it remains that today it has also been embraced by developing States.¹²² Thus, the standard was included in regional multilateral instruments related to the protection of foreign investments not only in Europe (Energy Charter Treaty) and in North America (NAFTA) but also in Latin America,¹²³ Asia¹²⁴ and Africa¹²⁵ and in model BITs of developing States. FET clauses have also been included in BITs entered into

115 ILA, Final Report (n 86) 25 (emphasis in the original).

116 *North Sea Continental Shelf Cases* (n 14) para 73 (emphasis added).

117 Villiger (n 52) 29; Brigitte Stern, 'Custom at the Heart of International Law' (2001) 11 *Duke J Comp Intl L* 105. This is, for instance, the position taken by Judge Lachs in his dissenting opinion in the *North Sea Continental Shelf Cases* (n 14) 227.

118 *ibid* [73]. See also *ibid* [175]–[176] (dissenting opinion of Judge Tanaka); *Fisheries Jurisdiction Case* (n 89) 90 (separate opinion of Judge De Castro), 161 (separate opinion of Judge Petráň).

119 *North Sea Continental Shelf Cases* (n 14) [73–74].

120 ILA, Final Report (n 86) 26; See also Baxter (n 84) 66; Dinstei (n 65) 289; ILC, Second Report, 2014 (n 52) 36.

121 This is clear from the inclusion of these clauses in early drafting attempts, such as the 1959 *Draft Convention on Investments Abroad* (Hermann Abs and Hartley Shawcross, 'The Proposed Convention to Protect Private Foreign Investment: A Round Table: Comment on the Draft Convention by its Authors' (1960) 9 *JPL* 115–132) and the 1967 *OECD Draft Convention on the Protection of Foreign Property*, adopted on 12 October 1967, (1967) 7 *ILM*, 11, both reflecting the position of developing States.

122 See, for instance OECD, *International Investment Law: A Changing Landscape: A Companion Volume to International Investment Perspectives* (2005) 78; OECD, *Fair and Equitable Treatment Standard in International Investment Law* (2004) Working Papers on International Investment Law, No 2004/3, 5.

123 Art 2, *Colonia Protocol* in the context of Mercosur.

124 *ASEAN Treaty for the Promotion and Protection of Investments* (art IV).

125 *Common Market for Eastern and Southern Africa* (COMESA) (art 159(1)a).

between developing countries.¹²⁶ As mentioned above, my own investigation shows no clear pattern of a specific group of States systematically rejecting the FET clause. In sum, the practice of States to include FET clauses in their BITs can be considered as representative.

(c) *State practice is not uniform and consistent.* According to several ICJ cases,¹²⁷ the practice of States must be 'uniform' and consistent.¹²⁸ The ILA speaks of the requirement of 'virtual uniformity',¹²⁹ both 'internally'¹³⁰ and 'collectively'.¹³¹ Collective uniformity requires that 'different States must not have engaged in substantially different conduct, some doing one thing and some another'.¹³² Thus, as noted by the ILA, 'if there is too much inconsistency between States in their practice, there is no *general* custom and hence no general customary rule'.¹³³ This requirement has been recognized by States in arbitration proceedings¹³⁴ as well as by investment tribunals.¹³⁵

Is the practice of States to include FET clauses in their BITs uniform and consistent? While admitting that 'BITs do not refer to the FET in a uniform manner',¹³⁶ Tudor argues that there is enough uniformity in State practice for the emergence of a customary rule because the language differences contained in FET clauses 'refer to the level of the treatment to be accorded to the Investors, not to the standard within its content'.¹³⁷ Another writer has also recently argued that these drafting differences 'do not touch upon the core of the FET standard'.¹³⁸ The first obvious criticism put forward by scholars¹³⁹ on this point is whether one can truly speak of 'uniformity'

126 Vasciannie (n 5) 129–130.

127 *Asylum Case* (n 68), 276; *Military and Paramilitary Activities in and around Nicaragua (Nicaragua v United States)* Merits, Judgment, ICJ Rep 1986, [186]; *Fisheries Jurisdiction Case* (n 89) 50 (Joint Separate Opinion of Judges Forster, Bengzon, Jiménez de Aréchaga, Nagendra Singh and Ruda).

128 See, Al Faruque (n 84) 295–296; Gazzini (n 21) 692.

129 *North Sea Continental Shelf Cases* (n 14) [74].

130 ILA, Final Report (n 86) 21, explaining that 'internal uniformity means that each State whose behaviour is being considered should have acted in the same way on virtually all of the occasions on which it engaged in the practice in question'.

131 ILA, Final Report (n 86) 21; Mendelson (n 61) 212.

132 ILA, *ibid* 21.

133 *ibid* 22 (emphasis in the original). Yet, as the ICJ recognized in *Nicaragua* (n 127) para 186, in practical terms, it would be almost impossible for a rule of custom to ever emerge if *perfect and total* 'collective' consistency and uniformity was required among States.

134 *Glamis* (n 73) [602]; *Apotex Holdings Inc & Apotex Inc v United States* (Award, 25 August 2014) ICSID Case No ARB(AF)/12/1 [2.65]; *Mobil Investments Canada Inc & Murphy Oil Corporation v Canada* (Decision on Liability and on Principles of Quantum, 22 May 2012) ICSID Case No ARB(AF)/07/4 [131].

135 *Glamis*, *ibid* [603]; *Merrill & Ring* (n 42) [204].

136 Tudor (n 1) 77.

137 *ibid*.

138 Diehl (n 1) 134–135, adding that it 'is the very nature of standard not to be uniform and specific but to be broad and open for fact-specific analysis. If this particularity of the notion of standard constituted a bar to the formation of custom, then no standard of treatment could ever become part of customary international law'.

139 Andrew Newcombe and Luis Paradell, *Law and Practice of Investment Treaties: Standards of Treatment* (Kluwer 2009) 271, fn 188; Cai Congyan, 'International Investment Treaties and the Formation, Application and Transformation of Customary International Law Rules' (2008) 7 Chinese JIL, 664,

when there exists five or six different FET models.¹⁴⁰ As mentioned above, the most important drafting distinction lies between the following two groups of provisions:¹⁴¹

- clauses explicitly linking the FET to the standard existing under international law and
- clauses containing an unqualified formulation of the FET obligation without any reference to international law.

The different language contained in these two types of FET clauses actually means *different things*.¹⁴² As explained elsewhere by the present author,¹⁴³ generally, arbitral tribunals have given different interpretations to the scope of FET clauses depending on their actual drafting.¹⁴⁴ A 2012 UNCTAD report indicated that the drafting variations in FET clauses have in fact been interpreted as meaning different content as well as different thresholds of liability.¹⁴⁵ The vast majority of tribunals have thus interpreted a stand-alone FET clause as having an autonomous character, which hence provides a level of FET protection *higher* than under the MST.¹⁴⁶ In fact, only a limited number of tribunals have interpreted a stand-alone FET clause as an implicit reference to international law.¹⁴⁷ This situation contrasts with the approach adopted by tribunals faced with an FET clause containing an explicit reference to ‘international law’.¹⁴⁸ Tribunals have overall been divided on the proper interpretation and use of these words. While some tribunals have held that the term ‘international law’ found in an FET clause was a reference to the minimum standard under custom,¹⁴⁹ others have interpreted such an express reference in much the same way as a stand-alone FET clause.¹⁵⁰ The same assessment can be made with regards to ‘no less’ FET clauses whereby international law sets a floor below which

667; Al Faruque (n 84) 304; Gazzini (n 21) 698; Marcela Klein Bronfman, ‘Fair and Equitable Treatment: An Evolving Standard’ (2006) 10 Max Planck Yrbk UNL 656; Orakhelashvili (n 39) 77.

140 These different models are examined in: Tudor (n 1) 22ff; Kläger (n 1) 9ff; Diehl (n 1) 129ff; UNCTAD, ‘Fair and Equitable Treatment’, UNCTAD Series on Issues in International Investment Agreements II (United Nations 2012) xiii.

141 UNCTAD, *ibid* 17.

142 Surprisingly, Tudor (n 100) 316, who is supporting the customary status of the FET standard, admits that ‘the *level of treatment* and the *exact meaning* of the FET depend on the wording of each clause’ (emphasis added).

143 Dumberry (n 2) 40ff.

144 UNCTAD (n 140) 8, 22; OECD (n 122) 40; Haeri (n 95) 26.

145 UNCTAD (n 140) at 8: ‘[The] identification of the correct source of the FET standard – whether it is grounded in customary international law or is a self-standing obligation – can have important consequences in terms of the standard’s content and, more precisely, of the types of State measures that can be challenged as well as the required threshold for finding a violation, that is, the required degree of seriousness of the breach.’

146 *ibid* 22. This phenomenon has been recognized by many scholars. See, the analysis in: Dumberry (n 2) 40ff.

147 See for instance, *Siemens AG v Argentina* (Award, 17 January 2007) ICSID No ARB/02/8 [291].

148 UNCTAD (n 140) 22.

149 See, in particular, *MCI Power Group LC and New Turbine, Inc v Ecuador* (Award, 31 July 2007) ICSID No ARB/03/6 [369].

150 See, for instance, *Compañía de Aguas del Aconquija SA and Vivendi Universal SA v Argentina* (Award, 20 August 2007) ICSID Case No ARB/97/3 [5.2.2., 6.6.2., 7.4.5., 7.4.6., 7.4.7.].

State actions are considered illegal.¹⁵¹ To add to this confusion, a number of tribunals have in recent years adopted the so-called ‘theory of convergence’ whereby the level of treatment to be accorded to foreign investors under the MST has apparently evolved so rapidly in recent years that it is now the same as that existing under BITs containing a stand-alone FET clause.¹⁵² In sum, while interpretations given by tribunals to FET clauses containing an explicit reference to ‘international law’ are inconsistent, the overall picture suggests that drafting differences between the two main types of FET clauses matters a great deal.

These distinctions between differently worded FET clauses are also clear from the present author’s own analysis of awards interpreting NAFTA Article 1105 (whereby the FET standard is linked to international law).¹⁵³ Thus, NAFTA tribunals have consistently held (with a few exceptions) that only the prohibition of arbitrary conduct, denial of justice and the obligation of due process are unambiguously ‘elements’ of legal protection under this provision. The content of Article 1105 is thus significantly different than that of stand alone FET clauses found in most BITs. Tribunals interpreting these clauses have been increasingly willing to recognize new requirements as components of the ever-enlarged concept of FET. Prime examples are the obligation to provide a stable and predictable business environment and transparency as well as the obligation to protect an investor’s legitimate expectations. NAFTA tribunals have adopted a narrower interpretation of the FET precisely because the standard under Article 1105 refers to the level of protection existing under the MST. Thus, the concepts of transparency and legitimate expectations are considered by the vast majority of NAFTA tribunals only as ‘factors’ to be taken into account when assessing whether or not other well-established elements of the FET standard have been breached.¹⁵⁴ The vast majority of NAFTA tribunals have also emphasized that a high threshold of severity and gravity is required in order to conclude that the host State has breached any of the elements contained within the FET standard under Article 1105.¹⁵⁵ In sum, my analysis of NAFTA Article 1105 confirms that drafting differences do matter in terms of the actual level of protection existing under an FET clause.

In conclusion, while the practice of States to include FET clauses in their BITs is clearly general and widespread as well as representative, it remains that, in my view, such practice is not uniform enough for the standard to be considered as having emerged as a customary rule.¹⁵⁶ As a result, the first condition for any treaty-based

151 See, the analysis in *Dumberry* (n 2).

152 See, the critical analysis of several cases in: *Dumberry* (n 2) 40ff. See also: Theodore Kill, ‘Don’t Cross the Streams: Past and Present Overstatement of Customary International Law in Connection with Conventional Fair and Equitable Treatment Obligations’ (2008) 106 *Mich L Rev* 853, 865; J Roman Picherack, ‘The Expanding Scope of the Fair and Equitable Treatment Standard: Have Recent Tribunals Gone Too Far?’ (2008) 9(4) *J World Invest Trade* 271, 287, 285; Gus Van Harten, *International Treaty Arbitration and Public Law* (OUP 2007) 89, 81–82.

153 *Dumberry* (n 2) 260.

154 *ibid* 138–170; *Dumberry* (n 2).

155 *Dumberry* (n 2) 271.

156 Moreover, the ‘internal’ practice of States regarding the use of the FET clause is nowhere near uniform either. A number of States (for instance, Mexico and Argentina) include different variations of FET clauses in their BITs.

norm to transform into a customary rule has not been met. In the next section, I will briefly examine whether the second condition has been fulfilled.

(i) *The practice of states outside the treaty framework*

While the first condition for the transformation of a treaty-based provision into a customary rule concerns the practice of States that are *parties* to BITs containing FET clauses, the second one deals with the practice of States *outside* the treaty framework. It must be shown that States have adopted ‘a practice in-line with that prescribed (or authorized) by the treaty, but which is in fact independent of it because of the general rule that treaties neither bind nor benefit third parties’.¹⁵⁷ In other words, it must be demonstrated that States are actually uniformly and consistently providing the FET protection to foreign investors in their own practice (outside treaties). For instance, the fact that States that are not party to any such BITs (or States parties to BITs not containing any FET clause) are doing so would be particularly convincing to evidence the customary nature of the FET obligation. Such practice could be found, for instance, in the domestic legislation of the host State.¹⁵⁸

Some writers have suggested that the FET standard is found in the domestic laws of most developed and developing States.¹⁵⁹ An in-depth investigation of all domestic legal orders is clearly beyond the scope of the present article. Suffice it to say, that one study of the domestic legislations of a number of capital-importing States by Vasciannie shows in fact that the ‘overwhelming majority’ of these States do not provide FET protection to foreign investors.¹⁶⁰ Similarly, in a 1992 study of national legislations in 51 developing countries conducted, Parra found that only three of them incorporated the FET standard.¹⁶¹ The present author has recently undertaken a thorough analysis of the content of domestic laws dealing *specifically* with foreign investment laws.¹⁶² I have examined 165 foreign investment laws (from 160 States) and found that only 10 expressly refer to the FET standard.¹⁶³ Yet, one has to be careful in drawing any conclusions from the fact that one State’s domestic legislation does not include any FET protection. As put by one writer, such absence is ‘not decisive in itself’ since ‘some States may well believe fairness and equity to be

157 ILA, Final Report (n 86) 46. See also Mendelson (n 61) 316; Villiger (n 52) 182–184; Dinstein (n 65) 376–377.

158 It is generally recognized (see, for instance, ILC, Second Report, 2014 (n 52) 23) that acts of the legislative branch of government are manifestations of State practice which can potentially play a fundamental role in the emergence of customary rules. A number of international tribunals have recognized this phenomenon: *Nottebohm case (Liechtenstein v Guatemala) (Second Phase)*, Judgment, ICJ Rep 1955, 22; *Case Concerning the Arrest Warrant of 11 April 2000 (Democratic Republic of the Congo v Belgium)*, Judgment, ICJ Rep 2002, 24. The question is examined in detail in Dumberry (n 15) 268ff.

159 Tudor (n 1) 104 (‘In the case of the FET standard, the situation as it stands today is that most developed and developing countries do recognize in their domestic laws that FET is to be applied to foreign investors. This is the case even though the term FET itself may not be employed as such but the content of FET, namely procedural and substantive guarantees for foreign investors, is found in national provisions’); Diehl (n 1) 174.

160 Vasciannie (n 5) 160.

161 Parra, ‘Principles Governing Foreign Investment, as Reflected in National Investment Codes’ (1992) 7 ICSID Rev 435–437.

162 See Dumberry (n 17).

163 It should be added that a few other laws contain some references to a ‘transparency’ obligation.

inherently interwoven within the fabric of their legal system, and therefore beyond the need for an explicit statement'.¹⁶⁴ In other words, just because the FET standard is not mentioned expressly in a State's foreign investment legislation *per se*, one cannot automatically conclude that such standard is absent from its domestic legal order. The standard may very well exist under that State's constitution.¹⁶⁵

In sum, I have found no indicia in foreign investment laws supporting in any way the conclusion that States are uniformly and consistently providing FET protection to foreign investors outside BITs.¹⁶⁶ No arbitration case was found where a tribunal held that such an FET obligation exists in a situation of a BIT containing no FET clause or in the absence of any BIT.¹⁶⁷ In my view, the second condition for the transformation of treaty-based provision into customary rule has therefore not been met. The next section will briefly examine the requirement of States' *opinio juris*.

D. Do States have *opinio juris* when they Include FET Clauses in their BITs?

The existence of a rule of customary law does not only require that the practice of States be uniform, consistent and representative, it must also be shown that States believe that they have an *obligation* under international law to provide FET protection to each other's investors *notwithstanding* the fact that such protection is set out in the BIT.¹⁶⁸ Thus, as explained by the ILC Special Rapporteur Wood, 'when the parties to a treaty act in fulfilment of their conventional obligations, this does not generally demonstrate the existence of an *opinio juris*'.¹⁶⁹ Thus, States simply fulfilling their treaty obligations has nothing to do with custom. As explained by Schachter, 'the repetition of common clauses in bilateral treaties does not create or support an inference that those clauses express customary law' because '[t]o sustain such a claim of custom one would have to show that *apart from the treaty itself*, the rules in the clauses *are considered obligatory*'.¹⁷⁰

Considering the fact that western States started including FET clauses in their BITs because of the ambiguities surrounding the concept of the MST, which was rejected by developing States, it would be, as noted by one writer, 'difficult to posit that there was consensus between developed and developing countries that the [FET] standard had passed into customary law', adding that 'one would be hard-pressed to identify

164 Vasciannie (n 5) 160.

165 Tudor (n 1) 104.

166 I have also found no State contracts containing a FET clause. See, Dumbery (n 17).

167 It is true that in a handful of cases, foreign investors have been allowed to benefit from FET protection in situations where the BIT under which they started the proceedings did *not* contain any FET clause. Importantly, however, this was made possible through the use of the MFN clause contained in the BIT. Such importation of an FET protection had therefore nothing to do with the (alleged) customary status of the standard. On this question, see: Dumbery (n 24).

168 In addition, it must also be shown that States have this belief outside the BIT framework. In other words, it must be demonstrated that they believe that they have an obligation under international law to provide FET protection to foreign investors despite having no formal treaty obligation to do so. See, ILC, Second Report, 2014 (n 52) 55.

169 ILC, Second Report, 2014 (n 52) 43, citing a number of individual opinions of ICJ judges. See also: *North Sea Continental Shelf Cases* (n 14) para 76; Dinstein (n 65) 299; Villiger (n 52) 26–27.

170 Oscar Schachter, 'Compensation for Expropriation' (1986) 78 AJIL 126 (emphasis added). See also: GJH Van Hoof, *Rethinking the Sources of International Law* (Kluwer Law 1983) 109.

supportive *opinio juris*, particularly on the part of developing States'.¹⁷¹ There is indeed no indication in treaty text (or in the *travaux préparatoires* or anywhere else) showing that States include FET clauses in their BITs out of a sense of conviction that this is the type of protection they *have* to provide to foreign investors *under international law*. While the present author has found a number of clear examples of such existing *opinio juris* in BITs in other contexts,¹⁷² none was found regarding the FET clause. States sign BITs to protect their own interests, not out of any sense of obligation.¹⁷³ They also include FET clauses in their BITs 'as a means of facilitating investment in their respective countries'.¹⁷⁴ In my recent book, I also discuss (and refute) the arguments invoked by a few scholars for whom States' *opinio juris* can simply be deduced from the fact that they have adopted numerous BITs containing FET provisions.¹⁷⁵

5. CONCLUSION

The present article has argued that the FET standard should not be considered as a rule of customary international law. This is also the position adopted by a number of other scholars.¹⁷⁶ I have not found any evidence in treaties, pleadings or elsewhere of any State endorsing this controversial proposition. Also, it has so far been unambiguously adopted only by two tribunals (*Pope and Talbot* and *Merrill and Ring*, both in the context of NAFTA). At the end of the day, the FET obligation remains a treaty-based standard of protection. There is therefore no legal basis for an investor to claim the general benefit of FET protection before an arbitral tribunal (which has jurisdiction over a given dispute) whenever the standard is not expressly mentioned in a treaty, the domestic law of the host State or in a State contract.

Finally, a few words should be said about the *practical* consequences of my conclusion regarding the actual level of investment protection which host States must

171 Vasciannie (n 5) 157–158.

172 See Dumberry (n 15) 330ff.

173 UPS (n 73) [97]: '[w]hile BITs are large in number, their coverage is limited (...) and in terms of *opinio juris* there is no indication that they reflect a general sense of obligation.' The same position has been adopted by many scholars: Andrew T. Guzman, 'Why LDCs Sign Treaties That Hurt Them: Explaining the Popularity of Bilateral Investment Treaties' (1998) 38(4) Virginia JIL 687; D Carreau and P Juillard, *Droit international économique* (LGDJ 1998) 469; Kirkman (n 9) 385; Vasciannie (n 5) 158–161; Bronfman, (n 139) 670–671; Sornarajah (n 95) 206; Orakhelashvili (n 39) 77; Newcombe and Paradell (n 139) 270–271; Peter T Muchlinski, *Multinational Enterprises & the Law* (2nd edn, OUP 2007) 701; Manu Sanan, 'International Investment Law; Questions Riddling an Answer' (2010) 2(1) TL&D 14; Haeri (n 95) 43; R Doak Bishop, James Crawford and W Michael Reisman, *Foreign Investment Disputes: Cases, Materials and Commentary* (Kluwer Law International 2005) 1065. See also other reasons advanced by: Al Faruque (n 84) 310, 315; Congyan (n 139) 663, 665.

174 Haeri (n 95) 43.

175 Dumberry (n 2) examining the position of Tudor (n 1) 80–84. See also: Diehl (n 1) 138, 145, 178 and Steffen Hindelang, 'Bilateral Investment Treaties, Custom and a Healthy Investment Climate – The Question of whether BITs Influence Customary International Law Revisited' (2004) 5 J World Invest Trade 795–796, 806, 808, for whom the existence of *opinio juris* is found in the concept of the 'general interests' of States.

176 Kirkman (n 9) 385; Norah Gallagher and Wenhua Shan, *Chinese Investment Treaties* (OUP 2009) 127; Kill (n 152) 880; Al Faruque (n 84) 304; Alireza Falsafi, 'International Minimum Standard of Treatment of Foreign Investors' Property: A Contingent Standard' (2006–2007) 30 Suffolk Transnatl L Rev 357, 351–352; Orakhelashvili (n 39) 76ff, 104; Vasciannie (n 5) 153ff; UNCTAD (n 140) 17; Kläger (n 1) 268–270 (see however at 278).

offer to foreign investors. First, the conclusion reached in this article will have limited practical impact for investors under the few BITs which contain no FET clause at all. Thus, as mentioned above, all of these BITs that I have examined (except for two) contain a wide-scope MFN clause that would allow an investor to benefit from the FET protection contained in other treaties signed by the host State.¹⁷⁷ Second, my conclusion regarding the absence of customary status of the FET standard will have a very real and concrete impact in the different context where no BIT exists. Thus, an investor should not be allowed to claim the benefit of an FET protection under general international law. It should be added, however, that all foreign investors (wherever they invest) can still claim the benefit of the MST under custom. The MST encompasses (at the very least) an obligation for host States to prevent the denial of justice in the administration of justice, to provide due process, to prevent arbitrary conduct and to provide investors with 'full protection and security'.¹⁷⁸ In other words, foreign investors are allowed to benefit from important basic legal protections even if the FET standard is not deemed as a rule of custom.

177 See, my analysis in: Dumberry (n 24).

178 Dumberry (n 2) 25–28.